ECO401-Final Term-Notes

Introduction to Economics (Virtual University of Pakistan)

SHORT NOTES ECO 401-LECTURE 23 TO 35 PREPARED BY MR.SAIF UR REHMAN (MC110201030).MBA SEMESTER 4).

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MRPL =MPPL $_x$ MRi

VMPL=MPPL x Pi

AC(average cost) =Total or fixed cost/Quantity

Marginal External cost =Marginal social cost – Marginal private cost

Value added = value of goods produced – cost of materials and supplies used in producing.

GDP is the total market value of all final goods and services produced within the political boundaries.

Factor Price is a price at which firm sell its final output to consumer.

Market price = Factor price +indirect taxes

Gross National Product: can be obtained by all final goods and services produced during a year by factors owned by the citizen of a country.

GNP= GDP + net factor income from abroad

Net National Product: National income is NNP. It is GNP adjusted for depreciation.

Like NDP , NNP is a measure of net production in the economy.

Net Domestic Product = GDP –Depreciation

NNP = GNP – Depreciation

National Income:- It is often referred to as NNP. Total income earned by the citizens of National Economy. Its government official measure of how much income is generated by economy.

PRICE DEFLATOR ***:-*** Process of converting nominal GDP into Real GDP is known deflation. GDP price deflator is used to an indicator of economy's average price level.

GDP Deflator =Nominal GDP/Real GDP

REAL GDP ***year a = Nominal GDP$_{year\ a}$ x (price index $_{base\ year}$*** / Price index$_{year\ a}$)

Nominal GDP = Total Quantity of goods & services Produced $_x$ Prevailing Price Level

GROWTH RATE IN NOMINAL GDP :- nominal Gdp in year 2-nominal Gdp in year 1/nominal GDP year1

Marginal Propensity to Consume(MPC) : extra amount that people consume when they receive an extra $ of Yd.

MPC = $\triangle$ C / $\triangle$ Yd

Marginal Propensity to Save (MPS) : fraction of additional dollar of Yd that is saved.

MPS = $\triangle$ S / $\triangle$ Yd or MPS = 1- MPC

Saving function = S=c+d(Yd) ***d is MPS***

Average Propensity to Consume(APC) ***= C /Yd***

Average Propensity to Save(APS) ***= S /Yd   or APS =1 – APC***

Investment Demand Curve:- shows relationship between level of investment and cost of borrowing for firm(interest rates). Because funds for investments hired from banks so relationship between borrowing and investment demand is negative. Jaise jaise interest rate badh jaye ga Investment ki demand decrease ho jaye gi.

Trade Balance ; if exports are more and imports are less then a country have trade balance or trade balance surplus. If the imports are higher and exports are less then country has trade deficit.

Fiscal policy ***:-*** **fiscal policy** is the use of government revenue collection (taxation) and expenditure (spending) to influence the economy.

Fiscal Balance = T-G   if G>T it is fiscal or budget deficit   if T>G then there is fiscal/budget surplus. If G=T then it is Budget balance

(Always Remember)Macroeconomic Equilibrium obtains when   ***AS= AD=Y***

AD or expenditure function ***= C+I+G+(X-M)***

Multiplier affect = k =1/1-b

Labour force :- The **labor force** is the actual number of people available for work. The labor force of a country includes both the employed and the unemployed. The **labor force participation rate**, **LFPR** (or **economic activity rate**, **EAR**), is the ratio between the labor force and the overall size of their cohort (national population of the same age range.

Unemployment problem and views.

Classicals:- Reason of unemployment) :-Unemployment is due to wages that are higher than free market levels.

Solution:- if wages are allowed to fall to the market clearing level , firms demand for labor will be increased.

Keynesian:- Reason of unemployment:-Reason is deficient aggregate demand.

Solution:- if we will boost the demand(by government expenditure) , labor demand will be high and so unemployment will be reduced.

Monetarists: Solution:- If we reduce the distance of AJ curve and LF curve then issue can be resolved. If we will move AJ curve to the right side towards the LF curve. The unemployment rate could be reduced.

Hysteresis : refers to permanent effect of temporary change.

Unemployment rate = (number of unemployed / labor force) x 100

Collusion :Situation in which two or more firms set their prices and output according to a plan agreed upon between them in order to divide the market among themselves.

Inflation: 3% is positive inflation rate. 7% is quite acceptable. Above 10% is undesirable. Inflation rates in 100s and 1000s of percentage are hyper inflation. First country of hyper inflation was Germany in 1920s.

The CPI and PPI:

CPI measures the cost of a fixed basket of consumer goods in which the weight assigned to each commodity is the share of expenditures on that commodity by consumers.

(PPI) is the price index of goods and raw materials sold at the wholesale level to producers: examples of goods in the wholesale basket are steel, wheat, cotton etc.

- *High inflation increases uncertainty for firms, thus impacting investment rather negatively*

- *Balance of payments problems are also often a result of high domestic inflation*
- *Resource wastage is high when inflation is high. Extra resources (time and money) are dedicated, both by individuals and firms*

3 Views are about inflation.

Keynesian View

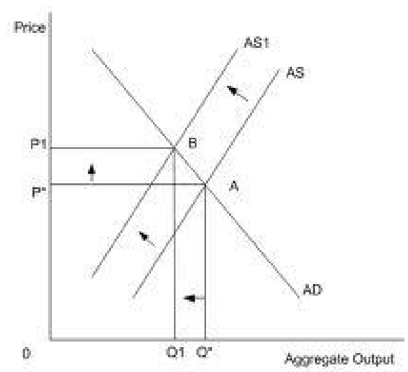
He sees unemployment and inflation as opposite sides of same coin. It is due to excessive aggregate demand (demand pull inflation)

Philip Curve:-

Philip curve is inverse relationship between the rate of unemployment and rate of inflation in the economy. Phillips found a consistent inverse inverse relationship: when unemployment was high, wages increased slowly; when unemployment was low, wages rose rapidly.

Stagflation:- 1970 two oil prices shocks(supply side shock) , there was rising prices and high unemployment. (I think it is opposite to Philip curve)

Cost-push inflation occurs when there is a shortage of supply of labor, raw materials or capital. The demand remains the same, but since there are fewer goods or services, the supplier can charge more per unit. However, this can only occur if demand for the end product or service isinelastic. That means there is a high demand for the product even if the price goes up.
Some times cost push inflation is due to higher demand. Suppose demand for property increases. This causes housing prices rise, rent rises, workers demand higher for wages. High wages causes firm's production costs to high.At every point costs is raising(rent, production, cost of workers.) This situation is branded cost push illusion.



Quantiity theory of Money(Monetarists)

Monetarists located the causes of inflation in the Quantity theory of money. QTM states : MV=PQ

Money illusion: is when agents base their decisions on their expectations about inflation(set in prices t-1)

Adaptive Expectations: people learn from previous period. Only an inflation rate higher than this new expected rate can conceive them to spend more.

BOP(Balance of Payment):-

BOP is an accounting record of a country's transactions with the rest of the world. The BOP is determined by the country's exports and imports of goods, services, and financial capital, as well as financial transfers. . It reflects all payments and liabilities to foreigners (debits) and all payments and obligations received from foreigners (credits).

Foreign exchange, in the Pakistani context, simply means US dollars (note that foreign exchange from the US's point of view would be Pak rupees).

The foreign exchange (**currency** or **forex** or **FX**) market exists wherever one currency is traded for another

***<u>Floating rate</u>*.** Under this exchange rate system, each bank quotes its own rate depending on its short and long positions. Strong competition, however, means the exchange rates vary little among the banks